Financial Literacy

By far the most systemic and sustainable way to demystify the Reserve Bank is through spreading financial literacy. Financial literacy is a large programme with several dimensions and the Reserve Bank is only one of the many players in the space. The Reserve Bank runs a huge financial literacy programme and also encourages banks to do so.

The one initiative in financial literacy that was dear to me was the introduction of a curriculum on finance in school textbooks so that the next generation of children would pass out of schools financially literate and in the process also develop an understanding of the role and responsibilities of the Reserve Bank. In fact, canvassing this would be part of the standard agenda of my meetings with chief ministers across the country. The Reserve Bank has prepared standard introductory material on finance at various class levels through the schooling period. I used to offer to the chief ministers that the Reserve Bank staff would work with the state school boards to adapt the standard material to the state context and even translate the material into the local language and idiom.

This is, by its very nature, a work in progress and my success has been partial. But I do count this effort of mine at financial literacy as one of the flagship initiatives to demystify the Reserve Bank in a robust and sustainable way.